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BUSINESS • EARNINGS

Texas Instruments Forecasts Strong Third Quarter

Continued strength of industrial and automotive markets fueled chip maker's revenue

By Maria Armental

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Texas Instruments reported a 9% revenue increase in the second quarter. LM OTERO/ASSOCIATED PRESS

Texas Instruments Inc. **TXN -2.96%** ▼ said it expects strong growth to continue in its industrial and automotive businesses, which the chip maker has singled out as two key growth areas.

The two markets drove the 9% revenue increase to \$4 billion in the second quarter. When combined, they account for more than half of the company's revenue and serve a broad range of sectors from space and defense to car maker's "infotainment systems." The company's quarterly results were announced Tuesday by Chief Executive Rich Templeton, who returned to the helm last week after Brian Crutcher

resigned less than two months into the role over what the company qualified as code-of-conduct violations.

The company hasn't elaborated on the alleged violations beyond saying that they related to personal behavior.

The Dallas-based company, which had released preliminary second-quarter results last week as it announced Mr. Crutcher's resignation, on Tuesday reported a 33% profit increase to \$1.41 billion, or \$1.40 a share, on \$4.02 billion in revenue.

Gross profit margin, a key indicator of underlying profitability, improved to 65.2% from 64.3% a year earlier.

Research and development expenses increased 1.6% as the company continues to ramp up spending to expand market share.

This quarter, the company projects profit of \$1.41 to \$1.63 a share on \$4.11 billion to \$4.45 billion in revenue, compared with the consensus estimate of \$1.48 a share on \$4.27 billion in revenue, according to analysts surveyed by Thomson Reuters.

Founded in 1930 as an oil-and-gas company, Texas Instruments took its current name in the 1950s as it shifted into the burgeoning semiconductor business. Today, it is one of the world's largest chip companies with a market value of more than \$111 billion.

Shares, which have outperformed the market with a 41% increase over the past 12 months, were up 0.9% to \$114.79 in post-market trading.

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[Maria Armental](#) covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

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